

LOAN AGREEMENT AND FINANCIAL SUMMARY

PART A - CREDIT FACILITY TERMS

This Loan Agreement is entered into between First National Bank (the Lender) and Acme Manufacturing Corp. (the Borrower).

Borrower: Acme Manufacturing Corp.

Facility: \$25,000,000 senior secured term loan.

Interest Rate: 7.25% per annum (SOFR + 3.00%).

Maturity Date: June 30, 2030.

Collateral: First-priority lien on substantially all assets of the Borrower, including accounts receivable, inventory and equipment, plus a pledge of the real property located at 100 Industrial Way.

Key Financial Covenants

- Maximum Debt to EBITDA ratio of 4.50x, tested quarterly.
- Minimum Current Ratio of 1.25x.
- Minimum Interest Coverage ratio of 2.50x.
- Quarterly financial statements within 45 days of quarter-end.

PART B - FINANCIAL STATEMENTS (Fiscal Year 2025, USD)

Total Debt: \$42,000,000

EBITDA: \$12,500,000

EBIT: \$9,800,000

Current Assets: \$18,400,000

Current Liabilities: \$11,200,000

Interest Expense: \$3,100,000

The Borrower represents that the financial statements fairly present its financial condition as of December 31, 2025.